

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

RESPONDENT’S RESPONSE TO PELOTON’S STATUS REPORT

COMES NOW, Respondent, Flexport International, LLC (“Flexport”), by and through the undersigned counsel, and files this, its Response to Complainant, Peloton Interactive, Inc.’s “Status Report” [Doc. 67] and in support thereof, Flexport states as follows:

I. Preliminary Comments.

On June 6, 2025, Peloton filed a “Status Report” in which it purports to advise the ALJ of alleged non-compliance by Flexport with the ALJ’s Orders regarding responses to discovery. The arguments set forth in the Status Report are, as expected, frivolous, baseless and outright false, which Flexport must (unfortunately) address herein. But Flexport should not have to.

Peloton did not file a motion. Instead, in their ongoing games being played with the Commission’s Rules, counsel for Peloton seeks to circumvent the requirements of motion practice – including the meet and confer requirements – by labeling their motion as a “Status Report”.

Notably, neither the Commission’s Rules, nor any Orders issued in this litigation permit or even contemplate such a filing.

FMC Rule 69(a) provides, in pertinent part:

In any adjudication, an application or request for an order or ruling not otherwise specifically provided for in this part must be by motion.

46 C.F.R. § 502.69(a).

Indeed, as Chief Administrative Law Judge recently made clear, “a joint status report is not a motion...[and] thus fails to satisfy the Commission’s requirements for the filing of motions...and is procedurally improper.” *NNabugwu Chinedu Andrew v. Marine Transport Logistics*, Docket 20-21, 2021 WL 2826352 at *1 (F.M.C. July 2, 2021).

In contrast, on May 22, 2025, as a result of Peloton’s complete failures to comply with three (3) Orders from the ALJ regarding supplemental responses, Flexport properly filed a motion for sanctions. [Doc 63]. In its Response, Peloton and its counsel incorrectly – but intentionally – referred to Flexport’s motion as “dispositive” and Flexport’s third “motion to dismiss”. [Doc 66, on nearly every page]. Peloton’s position now seems to be that, despite Peloton’s blatant failures to comply with the ALJ’s Orders (which they deny in their Response, but do not provide any basis or proof of compliance), that Flexport is not entitled to bring this to the attention of the ALJ by motion as required by the Rules, but instead should file a “Status Report” setting forth their arguments, without any opportunity to respond.

As such, Flexport is without recourse under the Rules to respond to the arguments, except in this document – which is procedurally improper.

II. Discussion.

a. Background – Peloton’s failure to provide any support for its claims and ignore multiple Orders to supplement its production.

As Flexport has previously and repeatedly maintained, Peloton and its attorneys have engaged in a fishing expedition – which has now turned into an obsessive witch hunt.

Flexport has also repeated argued that Peloton and its attorneys have continuously refused to provide any basis for their claims as to what Flexport allegedly did wrong – other than assessing D&D charges on “store-door” shipments for which not a single through bill of lading was issued.

To be clear, Peloton and its attorneys have claimed, over and over again, that the information as to Flexport’s alleged wrongdoing is in Flexport’s possession, not Peloton’s. This is the very definition of a fishing expedition. Despite this, Flexport has produced: (1) 32,933 documents consisting of 106,966 pages; (2) approximately 5,000 pages of shipment files; and (3) spreadsheets setting forth details, including status updates and correspondence for each shipment at issue, totaling **275,625 lines of data**.

Yet, it is clear – both from multiple Orders entered in this matter and from recent FMC rulings that the burden rests with the Complainant to prove causation on a shipment-by-shipment analysis to demonstrate an unreasonable practice constituting a violation of the Shipping Act. *See Samsung Electronics America, Inc. v. ZIM Integrated Services*, Docket 22-30, Doc. 60 at p. 70; and *Visual Comfort & Co. v. Cosco Shipping Lines*, Docket 24-01. Doc. 103 at p. 29.

To that end, Flexport has sought in discovery regarding the basis for the claims asserted against it in this matter. To be clear, Flexport has been asking for this information since before the litigation and Peloton – or rather their counsel – outright refused to provide any information, stating that they simply “do not need to”.

Thus, in discovery, Flexport asked Peloton to provide documents and information to support each of their claims. Instead, for each request and interrogatory, Peloton asserted a plethora

of frivolous, boiler-plate objections, and then responded, “subject to these objections”, to see the entire 30,000 documents in their production.

Judge Crovella did not appreciate this at all and on March 26, 2025 Ordered Peloton to supplement its responses to specifically identify the documents which are responsive to each request. [Doc. 47]. Flexport was also ordered to supplement its responses – and did so promptly.

Peloton, however, not only failed to provide supplementary responses, but refused to even advise Flexport as to when the responses would be provided. In the meantime, after the ALJ’s Order was entered, in the course of the deposition of Peloton’s corporate representative (who also verified both the Complaint and the Interrogatory responses) when she was asked to identify the documents responsive to the requests, she merely referred – over two dozen times – to the entire document production. [See Flexport Motion to Dismiss, Doc. 54 at pp. 13-17].

Then, a month later, and only after Judge Crovella entered a second Order did Peloton produce a supplemental response.

Yet, the Supplement did not comply with the Order at all.¹ Rather, Peloton merely referred to a set of some 12,500 email strings, as well as vague, unspecified portions of “depositions transcripts” and two expert reports!

Even worse, however, was that it came to light in the course of the depositions that Peloton had actually conducted an audit of each and every shipment, including (presumably) the underlying causes of each delay and the party responsible.

But not only did Peloton never disclose this audit or the documents resulting therefrom, but its attorneys deliberately concealed them. That is, Peloton was asked for spreadsheets regarding the claim as well as any audits conducted on the invoices. Peloton did not identify any

¹ The details of non-compliance are fully set forth in Flexport’s Motion for Sanctions filed on May 22, 2025. [Doc. 63].

spreadsheets, and identified a different audit, conducted years prior. Worse yet, at the depositions, Peloton’s counsel refused to allow questions regarding the audit, claiming privilege. Counsel then referred to a single line item in Peloton’s privilege log which he claimed was the audit document.

The line item read as follows:

REVIEWID	To	From	CC	Privilege	Privilege Claim
FPFMC_CP002_000131301				Privileged Withhold	Attorney Client

Based on these facts, Flexport moved to dismiss based upon blatant discovery violations by Peloton and its counsel and then moved for sanctions for failing to comply with the ALJ’s three (3) orders.

b. Flexport’s Compliance with the Orders.

The background provided above provides context to Peloton’s arguments that Flexport has failed to provide information to support Peloton’s claims. Peloton has no legitimate claim in this litigation. Flexport has always maintained that it not only bent over backwards to provide logistics solutions to Peloton, but that any delay (and the resulting D&D charges at issue in this matter) were the result of Peloton’s greed and business failures, not as the result of any act or omission of Flexport.

Peloton’s position – at least at first – was that Flexport agreed to “store door” terms and, as such, Peloton should not have been responsible for any D&D at all, regardless of the cause of delay².

Discovery, however, forced Peloton to modify its claim somewhat – to now fabricate claims that Flexport failed to provide chassis and promptly pick-up and return the containers.

² Not a single through bill of lading was issued by Flexport in this matter. Yet, Peloton argues, along with an “expert” opinion by a competitor of Flexport’s that this is somehow irrelevant.

Yet, the discovery elicited in this litigation has made it abundantly clear that there is no basis for these claims and that Peloton was the direct cause of all the D&D charges at issue, not Flexport. As Peloton itself testified, Peloton had one overriding goal – to get its bikes to its consumers at any cost. This included allowing full containers to remain in the port well after the expiration of free time, while Peloton selected certain shipments to proceed to its facilities and ultimately to the consumers.

This also included allowing full containers to remain outside at its facilities for **months** because Peloton did not have the capacity or capability – or desire – to unload them. Then, on many, many occasions, when the trucker was dispatched to retrieve the empty containers from Peloton’s facility, they found that the containers were not, in fact, empty. Yet Peloton has claimed – for these very shipments, that Flexport should be responsible for the resulting detention charges.

These facts have been well documented, both in written discovery and in the course of depositions, including Peloton’s own employees.

To be clear, it was Peloton which caused the D&D charges at issue. It was Peloton which kept thousands of containers out of the supply chain during the Pandemic.

Peloton has no case. So their attorneys, who have deliberately concealed vital information which under the guise of “privilege” have fabricated discovery disputes. Peloton’s attorneys just refuse to accept the fact that Flexport has provided all documents in its possession in compliance with the ALJ’s Orders. Whether Peloton’s counsel believes there are additional documents which Flexport has been concealing (an accusation levied several times), or that they are not happy with the information contained in the production is irrelevant. What is clear is that Peloton’s counsel either does not understand the production or deliberately refuses to in their desperate attempt to create discovery disputes that do not exist.

So now we come to the arguments at hand. Peloton argues that Flexport has only produced 2,000 pages of correspondence with third parties. Only 2,000? The only argument raised by Peloton is that they believe there should be more.

Next, Peloton argues that Flexport did not produce correspondence with the ocean carriers. What Peloton fails to understand is how the logistics industry works.³ First, an NVOCC typically does not send emails to ocean carriers. All communication is sent via EDI or similar mechanism. Second, as has been made clear in discovery, the correspondence regarding free time and D&D was between the trucker and the ocean carrier.

Third, and this must be stressed – ALL of these communications are reflected in the emails and spreadsheets produced by Flexport in this litigation.

Attached hereto as Exhibit “A” is the Declaration of Ryan Tanner, Flexport’s Senior Director, Compliance, who testified in this litigation both in his individual capacity and as Flexport’s corporate representative. In it, he explains – consistent with his testimony – Flexport’s real-time tracking and information system, referred to internally as “Core”.

The data in “Core” is received directly from truckers who use another system called “Transmission”. (Decl. Tanner at ¶ 10). This system is referenced in the Status Report, and which Peloton’s attorneys claim contain communications which have not been produced.

The truckers, including JC Transport, as referenced in the Status Report, would electronically enter each and every status update regarding a shipment through “Transmission”. (Decl. Tanner at ¶ 11). This data is immediately reflected in “Core” – and cannot be deleted or modified by the trucker. (Decl. Tanner at ¶ 11). The data in “Transmission” is exactly the same as in “Core”.

³ This lack of understanding is demonstrated by their reliance on the term “store door”, which even their expert agreed is a term used by VOCCs, not NVOCCs.

Thus, all of the communications between Flexport and third parties – to the extent not included in the emails produced – is set forth in “Core”.

However, in preparing the discovery responses in this litigation, the only way to download the information contained in “Core” was in the spreadsheets which Flexport produced entitled the “Events Downloads”. (Decl. Tanner at ¶ 11).

Flexport supplemented the information contained in these Events Download so as to be fully compliant with the ALJ’s Order – specifically, to include all shipments for which invoices were issued after May 1, 2025 but which were handled prior to this time frame. (Decl. Tanner at ¶¶ 14 - 20).

And that leads to the last (but primary) argument raised by Peloton – that, in the course of his deposition, Gary Kardian, former Director of the Office of Service Contracts & Tariffs at the Federal Maritime Commission, testified as to what was contained in “Core”. Although it was clear that he was referring to documents derived from “Core”, rather than from Core itself, counsel for Peloton immediately pounced on this testimony, pursuing her blind obsession of locating the “secret hidden files”:

Q. And whenever you were looking at documents or shipments in Core, did it say whether it was a port-to-door shipment or specify --

MR. BORAK: Objection to form. And I'll say it again, Mr. Kardian never had access to Core. He is referring to the spreadsheets which reflected the data in Core.

...

MS. LITTLE: Okay. Can you --

MR. BORAK: Ask him point blank did he ever have access to Peloton's system? Did he have a login to see --

MS. LITTLE: Okay. Rob, this is my depo.

MR. BORAK: Just to clarify the --

MS. LITTLE: This is my depo. I'm going to ask that if you're contending that it was produced, please, provide us the Bates number or identify the document name. If not, we're going to request that it be produced to us.

MR. BORAK: It hasn't [sic] been produced. If you want to ask him if he's had access to Core to clarify the record so that we're not spinning circles, then, please, ask him.

MS. LITTLE: Okay. I'm going to ask -- I am going to ask my questions.

[Deposition of Gary Kardian at 169:13 – 172:15]⁴.

The undersigned attempted – so very hard – to explain to counsel for Peloton to produce a proper record of testimony and provide clarity as to what documents Mr. Kardian was testifying to. And, indeed, Mr. Kardian clarified:

Q Go ahead.

A So I did not have access to Core. What I reviewed was a document that had information that -- again, I don't know what you call that type of document. As I said before, it captured information that was fed into Core. I did not have access to the Core system. So this is reviewing documentation that captured everything that was put into the system, but I did not, like, have a login/password to look at Core. That was never provided to me nor did I ask for it.

[Dep. Kardian at 174:9 - 21].

Mr. Kardian continued:

Q Is the Core document covered in any of these item numbers?

A I -- because, again, I didn't have access to Core --

Q Right.

A -- I thought that was contained 6 in 10, where we were talking about events download or -- either 9 or 10. That was the information that I viewed, that contained the aggregate of the shipment details.

Q. So 9 is Core, or possibly Core; is that correct?

A Right. It -- right. It -- it's got the events, the -- all the events that parties inputted into the system. I believe that's what I'm referring to because it wasn't actually

⁴ Attached hereto as Exhibit "B". The pertinent portions of the deposition transcripts are attached hereto. It is noted that Peloton has designated these as "Confidential", and ask such, Flexport asks that same be deemed not for public filing. However, Flexport has not designated the testimony of its witness as confidential and further states that clearly nothing contained in the testimony is confidential at all. It is noted that Peloton's counsel has designated everything as "confidential". Indeed, the entire deposition transcript of its expert, Richard Roche, was designated by Peloton's attorneys as "For Attorney's Eyes Only". There is no basis for any of this, which is why the ALJ rejected all three of Peloton's requests for Confidential Treatment.

Core itself. It's just a document that contained, you know, what was, I guess, for better lack of word, dumped into the system.

[Dep. Kardian at 179:24 – 180:23].

To be absolutely crystal clear, the “link” Mr. Kardian referred to was the Dropbox link which contained the documents sent to him by the undersigned. These documents – all of them – have been provided to Peloton in this litigation.

To be equally clear, Mr. Kardian understood that the documents he reviewed - the Events Downloads – reflected the information which was contained in Core. This was conveyed to him during the discussions regarding his review of the documents in preparation of his expert report. (Decl. Tanner at ¶¶ 21, 22).

Despite this clarification, Peloton and its counsel represent that “[d]uring his deposition on May 22, 2025, Mr. Kardian disclosed for the first time that he relied on a “CORE document” to prepare his report and to access Peloton shipment data—information not previously disclosed in either the Kardian Report or the Kardian Supplement. (Status Report, Doc. 67 at p. 9). It is noted that this statement is made despite the fact that Peloton actually quotes from the very same testimony as set forth above. (Status Report, Doc. 67 at p. 9).

As has been stated – several times – to Peloton’s counsel, and as has been set forth in multiple submissions, the Events Downloads, which reflect all of the correspondence in “Core” contain ALL of the correspondence which were not included in the 3,000 emails produced between Flexport and third parties, including truckers. (Decl. Tanner at ¶¶ 23, 24).

Counsel for Peloton either does not understand this or is blinded by their obsession to salvage their frivolously fabricated claims.

The undersigned again certifies that ALL documents in compliance with the ALJ's Order have been produced. Period.

III. Conclusion.

The undersigned remains available for a hearing to discuss any pending issues. As set forth in its Motion to Dismiss [Doc. 54], it remains the undersigned's position that the egregious discovery violations committed by Peloton and its counsel should be considered prior to briefing this case and further expense. Since that time, Peloton and its counsel have only added to these violations, now culminating in this improper attempt to circumvent the Rules.

Dated: June 13, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on June 13, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.